Nonbank financial institutions

A nonbank financial institution (NBFI) is an organization that does not have a banking license, or is not supervised by a banking regulator. It may provide banking services, but cannot hold deposits from the public.

As a consequence of the financial crisis of 2008–2009, regulatory authorities have been reconsidering their approach to financial supervision. In the UK, banks are now required to be more stringent about their lending criteria and to hold higher levels of reserve cash. They are also required to conduct credit checks on their borrowers. In meeting these requirements, traditional banks have tended to reduce the number of customers on their books who are at a medium or high risk of not being able to pay back their loan or mortgage. Increasingly, nonbank lenders have moved into the space that has been vacated by the banks.

Types of NBFI and their business areas

In the last few years, the number of NBFI companies has greatly increased. NBFIs are not subject to the tougher criteria that traditional banks must meet when they lend to individuals or businesses, and may also offer lower interest rates and larger amounts of credit than banks are allowed to provide. There are numerous types of NBFI.

Commercial loan providers

These provide funding to businesses but may not accept deposits from the public, and they are not allowed to provide overdrafts. Their lending criteria may be less stringent than that of a bank. Their services are not aimed at individuals.

Peer-to-peer lenders

These lenders act as middlemen, uniting lenders with borrowers. The idea is that each will receive a better rate—lenders receive more interest than they would on a bank savings account, while borrowers will often pay less interest than they would on a bank loan.